

furnish concerning any company within my range of interests that they considered unusually attractive for major appreciation.

Furthermore, since they were trained investment men, I could usually get rather quickly their opinion upon the key matters most important to me in my decision as to whether it might be a good gamble to investigate the company in question. What are these key matters? Essentially they cover how the company would measure up to our already discussed fifteen points, with special emphasis in this preliminary stage on two specific subjects. Is the company in, or being steered toward, lines of business affording opportunities of unusual growth in sales? Are these lines where, as the industry grows, it would be relatively simple for newcomers to start up and displace the leading units? If the nature of the business is such that there is little way of preventing newcomers from entering the field, the investment value of such growth as occurs may prove rather slight.

How about using investment men of fewer accomplishments or less ability as a source of original leads on what to investigate? If I did not feel that better men were available, I doubtless would use them somewhat more than I do. I always try to find the time at least to listen once to any investment man, if only to be on the alert for keen younger men coming up in the business and to be sure I am not overlooking one. However, the competition for time is terrific. As I downgrade either a financial man's investment judgment or his reliability as to facts presented, I find my tendency to spend time investigating the company he presents decreasing even more than proportionally.

How about selecting original leads for investigation from the ideas in printed material? Occasionally I have been influenced by the special reports issued by the most reliable brokerage houses when these reports are not for widespread distribution but solely to a few selected people. However, on the whole, I would feel the typical public printed brokerage bulletin available to everyone is not a fertile source. There is too much danger of inaccuracies in them. More important, most only repeat what is already common knowledge in the financial community. Similarly, I will occasionally get a worthwhile idea from the best of the trade and financial periodicals (which I find quite helpful for completely different purposes); but because I believe they have certain inherent limitations on what they